

Ashva Capital Credit Policy Manual: Core Underwriting Standards

CREDIT POLICY MANUAL

Ashva Capital

SME Term Loans

Section 1: General Underwriting Standards

1.1 Debt-Service Coverage Ratio (DSCR): At least 1.25x DSCR is required for all SME term loan applications.

1.2 Operating History: A minimum of 24 months of operating history is required for all SME term loan applicants.

Section 2: Leverage Limitations

2.1 Maximum Leverage: The borrower's total debt-to-equity (TDE) ratio must not exceed 3:1.

Section 3: Liquidity Requirements

3.1 Current-Ratio Floor: The borrower's current ratio must be at least 1.5:1.

Section 4: Credit Bureau Scorebands

4.1 Bureau Scorebands:

- Band A (720+): Loans up to 2,500,000 rupees may be approved by a Loan Officer.
- Band B (700-719): Loans up to 1,500,000 rupees may be approved by a Loan Officer.
- Band C (680-699): Loans up to 1,000,000 rupees may be approved by a Loan Officer.
- Band D (660-679): Loans up to 750,000 rupees may be approved by a Loan Officer.

Section 5: Approval Authorities and Loan Tiers

5.1 Loan Tiers and Approval Authorities:

- Tier 1: Up to 500,000 rupees: May be approved by a Loan Officer without requiring a Loan Committee approval.
- Tier 2: 500,000 - 1,000,000 rupees: Requires a Loan Committee approval.
- Tier 3: 1,000,000 - 2,500,000 rupees: Requires a Chief Credit Officer approval.
- Tier 4: 2,500,000 - 5,000,000 rupees: Requires a Board approval.
- Tier 5: Above 5,000,000 rupees: Requires a Board approval with a human signatory of the Board of Directors.

5.2 No loan above 5,000,000 rupees may be approved without a human signatory from the Board of Directors.

Section 6: Exceptions

6.1 Exception for Specialized Industries: In the case of applicants from specialized industries such as technology or pharmaceuticals with a history of consistent profitability and growth, the Board may approve loans above 5,000,000 rupees without a human signatory if such a loan does not exceed 7,500,000 rupees and has the prior approval of the Chief Credit Officer.

6.2 Exception for Refinancing Existing Loans: For the refinancing of existing loans with Ashva Capital, the Loan Officer may review and approve loans up to 5,000,000 rupees without a human signatory if the borrower's credit profile has not significantly deteriorated from the time of the original loan approval.